

A decorative graphic featuring several orange and red stars of various sizes scattered across the page. On the left side, there is a stylized illustration of a red rocket ship with a flame trail, pointing upwards. The background is white with a subtle gradient.

| COVER STORY **SWIGGY-ZOMATO** |

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FOR INDIA'S ONLINE food delivery giants Swiggy and Zomato, the Covid-19 lockdowns were the ultimate moment of truth. They presented a growth opportunity like never before. People were locked in their homes for months, discretionary spending on food services was at its highest, existing restaurants flocked to their platforms en masse, and new cloud kitchens mushroomed. Consequently, average order values (AOVs) peaked and order numbers shot up to record levels. Yet, improvement in operating margins remained elusive and the writing on the wall became glaringly clear—there isn't much money to be made on pure-play food delivery business in India. But why is it so?

In food delivery, profitability means improving AOV and optimising delivery cost. The average order value of \$5 for food delivery in India is approximately six times lower than that of peers in the US and Europe, according to a report by global stock investing platform Stockal. Even with one of the highest commission rates in the world that go as high as 30 per cent of the order value, Indian food delivery firms end up losing money on a majority of orders due to high delivery costs and discounts.

The biggest headache: sub-optimal usage of riders. Food delivery is always a two-peak business—lunch peak and dinner peak. The low utilisation of riders in the mornings and evenings tear a massive hole through unit-level profitability. Swiggy and Zomato operate a market-place model involving customers, restaurants and riders, and it becomes very tough to incentivise all three as they compete against each other.